📜 RentHub

Eliminating the ₦10 Billion "Agent Tax" in African Real Estate

The 100% Escrow-Protected, Direct Landlord-Tenant Marketplace

A software & financial trust protocol replacing predatory rental middlemen in Nigeria

Founder & Engineering Lead: Harz
Live Platform: renthub-seven.vercel.app | **Launch Hub:** Abuja (FCT)
Investment Ask: $350,000 SAFE (18-Month Runway)

💔 1. The Problem: The Nigerian "Agent Tax"

In Nigeria's rapidly urbanizing centers, renting a home requires surviving an unregulated, predatory cartel of street middlemen.

- **Tollgate Viewing Fees:** Tenants pay ₦5,000 to ₦15,000 upfront just to look at an apartment.
- **The 10%–20% Extortion:** Unaccredited street agents demand ₦200,000–₦600,000 for 15 minutes of unlocking a gate.
- **Double-Letting Scams:** Rogue agents collect cash from 5+ different victims for the same unit and vanish.
- **Hostage Caution Deposits:** 10%–20% caution deposits are pocketed immediately and virtually never refunded upon lease end.
- **Annual Renewal Shakedowns:** Agents demand fresh 10% commissions every 12 months for doing nothing.

> 🎯 **Our 5-Year Mission:** Eliminate unearned middleman fees and save Nigerian renters **₦10 Billion over the next 5 years**, starting with Abuja.

📊 2. The Math of Exploitation

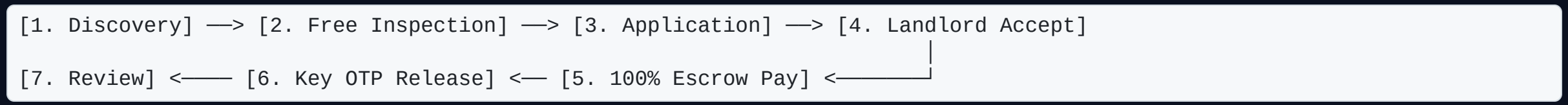
Upfront Cash Required for a Standard ₦2,000,000 / Year Flat:

Cost Item	Traditional Market	RentHub Platform	Direct Net Savings
Annual Rent	₦2,000,000	₦2,000,000	Direct to Owner
Viewing / Inspection Fees (3 tours @ ₦5k)	₦15,000	**₦0 (Free Viewings)**	**+₦15,000**
Agent Commission (10% standard)	₦200,000	**₦0 (0% Agent Fee)**	**+₦200,000**
Legal / Agreement Drafting Fee (10%)	₦200,000	**₦0 (Model Digital Lease)**	**+₦200,000**
Caution Deposit (10% refundable)	₦200,000 (at risk)	**₦200,000 (in Escrow)**	*Protected in Vault*
Platform Escrow Protection Fee (2%)	₦0 (No protection)	**₦40,000 (2% on rent)**	*Full fraud guarantee*
Total Cash Needed to Move In	**₦2,615,000**	**₦2,240,000**	**₦375,000 Saved (14.3%)**

- **Renewal Year Advantage:** Traditional renewals demand a fresh ₦200k agent fee. On RentHub, renewal requires **₦0 agent fee** and **₦0 fresh caution**; after the ~₦42k renewal escrow fee, the tenant still saves **about ₦158,000 every renewal year**.

🛡️ 3. The Solution: The 7-Stage Trust Chain

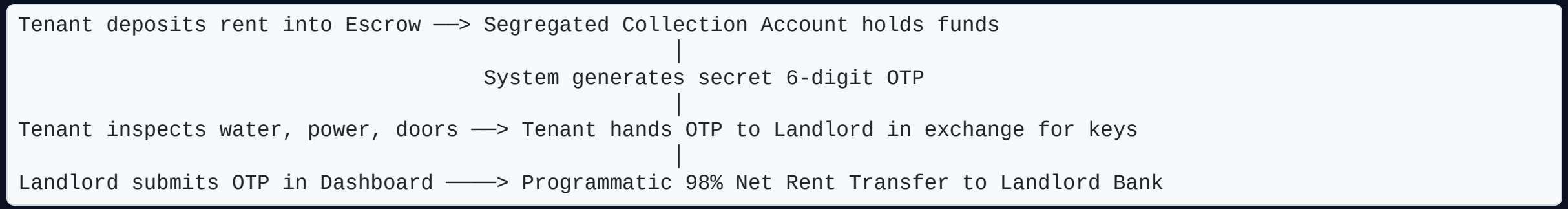
RentHub replaces chaotic street negotiations with a bank-grade, verified transaction workflow:



1. **Discovery & Verification:** Properties audited for light meters, borehole water, and title deeds.
2. **Zero-Fee Calendar Tours:** Direct booking with landlords; zero viewing fees permitted.
3. **Formal Application:** Pre-screened tenant profiles with algorithmic TrustScores.
4. **48-Hour Offer Lock:** Listing locked upon landlord acceptance to prevent multi-letting.
5. **100% Escrow Deposit:** Funds held in a segregated collection account with a licensed banking partner, separate from RentHub operating funds.
6. **Key Handover OTP Release:** Secret 6-digit code exchanged only after physical inspection.
7. **Verified Multi-Dimensional Reviews:** Authentic ratings on condition, utilities, and conduct.

🔐 4. The 6-Digit Key Handover OTP Protocol

The Uncompromising Core Rule: *Never release money without keys. Never surrender keys without the code.*



- **Custody Structure:** Tenant payments are collected into a segregated account held with a licensed banking partner and released programmatically to the landlord via bank transfer APIs only upon OTP confirmation.
- **48-Hour Dispute Window:** If a property has undisclosed major defects, the tenant reports an issue, escrow freezes, and RentHub arbitrates within 48 hours.
- **Handover Safeguard:** If a tenant takes physical possession but withholds the OTP without filing a dispute within 48 hours, the landlord submits handover evidence (meter handover/keys) to trigger administrative review and disbursement.

📈 5. Market Opportunity (TAM / SAM / SOM)

Africa's largest economy is experiencing an acute urban housing shortage combined with high purchasing power in capital cities.

- **Total Addressable Market (TAM): $30+ Billion** (top-down ceiling)
  - 220M+ population; urban growth rate exceeding 4.3% per annum.
- **Serviceable Available Market (SAM): $4.8 Billion**
  - Annual rental turnover across Tier-1 Nigerian urban centers (Abuja FCT, Lagos, Port Harcourt, Ibadan, Enugu).
- **Serviceable Obtainable Market (SOM): ₦16.5 Billion (~$12M) Annual GMV in Year 3**
  - Only **~0.25% of SAM**, delivered through 7,500 leases in Year 3.
  - **₦22.5 Billion cumulative GMV across 10,400 leases** over our first 36 months.

Market figures are internal top-down estimates synthesized from Nigeria National Bureau of Statistics (NBS) household expenditure data and World Bank urbanization reports; segment-level bottom-up validation (households × rent band, by district) will be refined from pilot data. FX: ₦1,400/$ planning rate used throughout this deck.

💰 6. Business Model & Unit Economics

RentHub monetizes via a transparent, 2-sided transaction take-rate plus high-margin verified services:

The 2% + 2% Escrow Split (4% Platform Take-Rate)

- **Tenant Fee (2% on rent):** ₦40,000 on a ₦2M rent (replaces ₦200k–₦400k street agent fees — **80%+ savings**).
- **Landlord Fee (2% deducted):** Landlord receives **98% Net Rent** (₦1,960,000). Replaces 10% traditional caretaker fees.
- **RentHub Escrow Revenue: ₦80,000 per lease**.

Unit Economics (Per ₦2,000,000 First-Time Lease):

- **Revenue:** ₦80,000 (Escrow) + ₦20,000 (Field Verification Fee, paid once per listing) = **₦100,000**
- **Direct Variable COGS:**
  - Payment gateway processing fee (Paystack 1.5% capped): ₦2,000
  - Field inspector physical visit stipend: ₦10,000
  - Termii SMS OTP routing & identity verification: ₦1,000
- **Direct Contribution Margin: ₦87,000 (87.0%)**
- *Note: Overall gross margin in the financial model settles at 60%–68% after dispute arbitration, support operations, hosting, and field-team overhead, and because renewals carry no verification fee.*

🔄 7. The Moat: Defending Against Disintermediation

The #1 Question: *"Why won't landlords and tenants renew off-platform in Year 2 to skip the 4% fee?"*

RentHub creates **four structural lock-ins** that make staying on-platform the better choice for both sides:

1. **Rent Relief-Ready Records:** Under the *Nigeria Tax Act 2025* (effective January 2026), employees can claim a deduction of 20% of annual rent paid, capped at ₦500,000, with documentary evidence. On ₦2M rent that is a ₦400,000 deduction from taxable income. RentHub auto-generates the lease, receipts, and payment trail in one claim-ready record.
2. **Protected Caution Deposit:** The caution deposit stays in the segregated account until move-out and is settled against a condition report. Tenants get evidence-based refunds; landlords get damage claims backed by funded deposits. Going offline forfeits both protections.
3. **Portable Tenant Track Record:** Tenants build an authenticated rental history (TrustScore) that earns priority viewings, lower deposit requests, and access to future partner-provided rent financing, with no credit risk on RentHub's balance sheet.
4. **Landlord Operating Tools:** One-click renewal proposals, TrustScore-vetted applicants, automated agent commission settlement, and digital receipts put a landlord's whole lease workflow on RentHub.

Renewal assumptions in our model: 75% of expiring leases renew on-platform in Year 2 (300 of 400) and 60% in Year 3 (1,500 of 2,500). Rent relief per the Nigeria Tax Act 2025; rent payments must be documented (receipts, transfer records, or lease).

🤝 8. The Regulated Agent Model (Managed Supply)

Rather than fighting the existing broker ecosystem, RentHub turns verified agents into regulated field partners for busy and diaspora landlords.

Fixed Policy Rules (Decided & Enforced in Code):

- **Landlord-Paid Only (Capped at 5%):** Tenants **NEVER** pay agent fees. Landlords can voluntarily delegate listing management at an agreed commission capped at **5%** (deducted from their gross rent upon escrow release).
- **Zero Side-Payment Rule:** Agents are strictly prohibited from demanding viewing fees, gate money, or off-platform cash.
- **The 3-Strike Enforcement System:**
  - Tenants can file one-click reports with evidence if an agent solicits off-platform cash.
  - Strikes operate on a **90-day rolling expiration**.
  - **3 upheld strikes = Permanent platform ban and revocation of all listings.**

⚔️ 9. Competitive Landscape

Attribute	Street Agents	Classifieds (PropertyPro)	Proptech/Financing (Spleet)	RentHub
Middleman Model	Unregulated Cartel	Agent Ad Directory	Managed / Rent Loans	**Direct Peer-to-Peer**
Tenant Commission	10% – 20%	10% – 20%	High monthly markup	**0% to Tenant**
Inspection Fees	~~₦~~5k – ~~₦~~15k / tour	~~₦~~5k – ~~₦~~15k (agents charge)	N/A (Virtual)	**~~₦~~0 (100% Free)**
Escrow Security	None (Cash/Wire)	None (Redirect to agent)	Direct Debit	**6-Digit OTP Escrow**
Renewal Shakedown	Full fee repeated	Full fee repeated	Subscription continues	**~~₦~~0 Caution Rollover**
Capital Intensity	Low	Low	High (Credit risk)	**Low (Marketplace)**

💡 **Why Legacy Classifieds Can't Copy Us:** Traditional property portals rely primarily on real estate agent advertising subscriptions. If they eliminate agents, they cannibalize their own core revenue model.

🚀 10. Go-To-Market & Pilot Strategy

Phase 1: The Abuja Capital Pilot (Months 1–6)

- **Why Abuja First?** Master-planned districts with high civil service and diplomatic purchasing power (Maitama, Wuse 2, Jabi, Gwarinpa, Guzape, Lugbe); clear legal precedent under the *Recovery of Premises Act*.
- **Supply Pipeline:** Onboarding 50 pilot landlords across Abuja estates with **Free Field Verification for the first 100 properties**.
- **Demand Acquisition:** Corporate employee housing partnerships and digital community campaigns targeting young professionals.

Phase 2: Lagos Corridor Expansion (Months 7–18)

- Expansion into Lekki Phase 1, Yaba, Ikeja GRA, and Surulere, conforming strictly to 12-month advance rental regulations.

Technical Readiness:

- **Production-Ready Monorepo:** Turborepo, Next.js 16 (App Router), Express TypeScript backend, PostgreSQL (Prisma 5.22), Clerk Auth, and Paystack integration fully operational.

📈 11. Reconciled 3-Year Financial Model

Metric	Year 1 (Abuja Pilot)	Year 2 (Abuja + Lagos)	Year 3 (Expansion)
Closed Leases (Transactions)	400	2,500 *(incl. 300 renewals)*	7,500 *(incl. 1,500 renewals)*
Average Annual Rent	₦2,000,000	₦2,100,000	₦2,200,000
Gross Rental Volume (GMV)	**₦800,000,000**	**₦5,250,000,000**	**₦16,500,000,000**
Platform Escrow Revenue (4%)	₦32,000,000	₦210,000,000	₦660,000,000
Verification & Boost Revenue	₦8,000,000	₦45,000,000	₦120,000,000
Total Gross Revenue	**₦40,000,000** (~$29k)	**₦255,000,000** (~$182k)	**₦780,000,000** (~$557k)
Direct COGS (Gateway, SMS, Field)	₦16,000,000	₦89,000,000	₦250,000,000
Gross Margin %	**60.0%**	**65.1%**	**67.9%**
Cumulative Fees Saved for Users*	**₦150,000,000**	**₦1,022,000,000**	**₦3,509,000,000**

🎯 **Path to ₦10B:** Year 3 cumulative savings reach ₦3.5B. Hitting ₦10B by Year 5 needs about ₦3.25B of savings per year across Years 4–5, only ~1.3× Year 3's ₦2.5B annual run-rate.

* Savings formula: ₦375,000 per new lease + ₦158,000 per renewal (₦200,000 agent fee avoided, less ~₦42,000 renewal escrow fee). Year 1 verification revenue assumes ~300 paid verifications (first 100 are free) at ₦20,000 plus ~₦2M in listing boosts. FX at ₦1,400/$.

👥 12. Team & Execution Capability

We combine local market insight, engineering rigor, and real-estate operational experience:

- **Harz — Founder & Technical Architect**
  - Full-stack engineer with deep experience building resilient fintech, marketplace, and escrow architectures.
  - Direct personal catalyst: witnessed family pay ₦600,000 in unearned agent fees on a ₦2.5M home, driving the mission to fix the system.
- **[Planned Hire] — Head of Field Operations (Abuja)**
  - To oversee the on-site inspector fleet, physical GPS tagging, light meter audits, and landlord onboarding across Abuja districts.
- **[Planned Hire] — Growth & Tenant Acquisition Lead**
  - To lead corporate employee housing partnerships and viral tenant community acquisition.
- **Legal & Regulatory Counsel**
  - Retained Nigerian legal specialists in tenancy law (*Recovery of Premises Act* and *Lagos State Tenancy Law*).

🎯 13. The Seed Round & 18-Month Milestones

We are raising $350,000 via a SAFE (with a $3.5M Valuation Cap)

Capital Allocation (~$19,400/month average spend over 18 months):

- **40% ($140,000) — Field Operations & Inspector Fleet:** Equipping and training verified field inspectors in Abuja and Lagos.
- **30% ($105,000) — Growth & Tenant Acquisition:** Targeted digital marketing, corporate housing partnerships, and referral incentives.
- **20% ($70,000) — Mobile App Engineering:** Native iOS and Android apps with biometric OTP key release and offline listings.
- **10% ($35,000) — Regulatory Reserves & Working Capital:** Compliance audits and legal reserves.

18-Month Target Milestones (Halfway through Year 2):

- **1,500+ Cumulative Closed Leases** across Abuja and Lagos.
- **₦3.1 Billion+ in Cumulative Processed GMV**.
- **₦150 Million+ in Cumulative Platform Revenue**.
- **₦550 Million+ in Agent Fees Saved** for Nigerian renters.

🤝 Join the Movement

Building a Fair, Dignified Housing Economy for Africa

Rent Directly. Pay Safely. Keep Your Money. Renew with Dignity.

- **Live Marketplace:** renthub-seven.vercel.app
- **Inquiries & Investor Relations:** `founders@renthub.ng`

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